7.3 Pre-Trade Checklist

Below are some pointers to consider before you execute a trading strategy:

- ☑ Identify the market trend. If you expect directional moves, buy options with a long delta. If you expect sideways movement, aim for theta decay by selling options.
- ☑ Choose whether to perform naked buying, writing, or combining strategies.
- ☑ Decide between weekly or monthly options based on your goals and strategy.
- ☑ Prepare for "firefighting" situations, such as adjusting strikes when premiums move against you.
- ☑ Stay informed about stock-specific news, government policies, and RBI actions.
- ☑ Analyse broad market influences like Dow movements, Fed statements, USD/INR currency fluctuations, and key economic events.
- ☑ Understand the Greek indicators, especially delta and theta, to assess risk and reward.
- ☑ Study open interest, put-call ratios, implied volatility, and liquidity.
- ☑ Be mindful of costs and margin requirements when using options for hedging.
- ☑ Buyers must aim to limit losses early rather than holding onto losing positions.
- ☑ Sellers should avoid risking more than the potential reward.
- ☑ Always adhere to basic money management principles to ensure sustainability.
- ☑ Use hedging techniques to face volatile events.
- ☑ Follow or trail the trend rather than pre-empting it.